Proposition (2):

When income increases to 180 and 240 it is divided in some proportion between consumption by 170 and 220 and saving by 10 and 20 respectively.

Proposition (3):

Increases in income to 180 and 240 lead to increased consumption 170 and 220 and increased saving 20 and 10 than before. It is clear from the widening area below the C curve and the saving gap between 45° line and C curve.

4.2.4 Determinants of Consumption function: Subjective and Objective Factors

J.M Keynes has divided factors influencing the consumption function into two namely: Subjective factors and Objective factors

A) Subjective Factors

Subjective factors are the internal factors related to psychological feelings. Major subjective factors influencing consumption function are given below.

Keynes lists eight motives which lead *individuals* to refrain from spending, they are:

1. **The motive of precaution:** To build up a reserve against unforeseen contingencies. Eg. Accidents, sickness

2. **The motive of foresight:** The desire to provide for anticipated future needs. Eg. Old age

3. **The motive of calculation:** The desire to enjoy interest and appreciation.

4. **The motive of improvement:** The desire to enjoy for improving standard of living.

5. **The motive of financial independence**.

6. **The motive of enterprise** (desire to do forward trading).

7. **The motive of pride.**(desire to bequeath a fortune)

8. **The motive of avarice.**(purely miserly instinct)

Keynes sums up the motives as Precaution, Foresight, Calculation, Improvement, Independence, Enterprise, Pride and Avarice.

The *Government, institutions* and *business corporations* and *firms* may also consume mainly because of the following four motives:

1. **The motive of enterprise:** The desire to obtain resources to carry out further capital investment without incurring debt.

2. **The motive of liquidity:** The desire to secure liquid resources to meet emergencies, and difficulties.

3. **The motive of improvement:** The desire to secure a rising income and to demonstrate successful management.

4. **The motive of financial prudence:** The desire to ensure adequate financial

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